When the economy is passing through the cycle of stagnation (i.e. long period of low aggregate demand in relation to its productive capacity) and the government shuffles with the economic policy, a sudden and temporary price rise is seen in some of the goods—such inflation is also known as stagflation. Stagflation is basically a combination of high inflation and low growth.[32b]

Inflation Targeting

The announcement of an official target range for inflation is known as inflation targeting. It is done by the Central Bank in an economy as a part of their monetary policy to realise the objective of a ***stable*** rate of inflation[33] (the Government of India asked the RBI to perform this function in the early 1970s).

New Zealand was the first economy to go for inflation targeting in 1989[34] which has been followed by almost all economies since then. In the Indian case, the target ranges between 4 to 5 per cent which is also popular as the ***comfort zone*** of inflation in India.

By early 2013, there had been a debate on the issue of revising this 'comfort zone' for India (after such a suggestion coming from the ex-RBI Governor Y V Reddy at a Panel Discussion). But C Rangarajan, the present Chairman of the PM's Economic Advisory Council, suggested it to be kept at the present range of 4 to 5 per cent itself which has been set by the RBI. It should be noted that in 1998, Mr Rangarajan (while he was Governor, RBI) had called inflation rate at 6 to 7 per cent as 'acceptable level'. His idea of *threshold* was – at what level of inflation do adverse consequences set in? 'At that time, inflation level was as high as 10 -11 per cent, so cutting down inflation to 6 per cent was also very difficult that is why he suggested a higher 'comfort zone' (as was explained by Rangarajan to a recent media query)!

Skewflation

Economists usually distinguish between inflation and a relative price increase. 'Inflation' refers to a sustained, across-the-board price increase, whereas 'a relative price increase' is a reference to an episodic price rise